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What's News

Business & Finance

◆ **Major U.S. stock indexes** slid as Trump confirmed that he would proceed with a 25% levy on Canadian and Mexican goods. The S&P 500, Nasdaq and Dow fell 1.8%, 2.6% and 1.5%, respectively. **B1**

◆ **Walgreens Boots Alliance** is closing in on a deal with Sycamore that would take the drugstore chain off the public market for around \$10 billion, according to people familiar with the matter. **B1**

◆ **About 59 million options** contracts changed hands daily on average in February, a monthly record based on data going back to 1973. **B9**

◆ **Kroger Chief Executive** Rodney McMullen resigned following a board investigation into his personal conduct, which the company said was unrelated to its business. **B1**

◆ **Advance Auto Parts** overhauled its supply chain as it seeks to turn around years of shrinking market share and anemic sales growth. **B3**

◆ **Private-equity firm** New Water acquired Dutch Gold Honey and related businesses from the founding Gamber family for an undisclosed sum. **B3**

◆ **Microchip Technology** reduced its workforce across manufacturing and corporate operations by about 2,000 as the chip maker looks to cut costs. **B4**

◆ **TSMC and Trump** said the company plans to invest at least \$100 billion more in chip-making plants in the U.S. over the next several years. **B4**

◆ **U.S. manufacturing** activity expanded slightly in February for a second straight month after 26 months of contraction. **A3**

World-Wide

◆ **Trump's 25% tariffs** took effect on goods from Canada and Mexico, after he declared there was no room left for negotiations with America's neighbors. **A1-2, B1**

◆ **The U.S. will pause** all military aid to Kyiv until President Trump determines that Ukraine's Zelensky is making a good-faith effort toward peace negotiations with Russia. **A1**

◆ **Trump's embrace of Russia** heralds an uncertain future for NATO now the bedrock assumption that the U.S. would come to the defense of any ally that is attacked has been called into question. **A7**

◆ **The man accused of a shooting** that left seven people dead at a 2022 Fourth of July parade in Illinois pleaded guilty moments before opening statements at his trial. **A3**

◆ **The Treasury Department** said it won't take enforcement action against U.S. companies that fail to divulge ownership information under the Corporate Transparency Act. **A4**

◆ **The FDIC plans to propose** rolling back a Biden-era policy that had stepped up scrutiny of large bank mergers. **A5**

◆ **Police in Germany** said they detained a man after a driver rammed a car into a crowd, leaving two people dead and 10 injured. **A18**

◆ **Pope Francis was back** on noninvasive mechanical ventilation, the Vatican said, after he experienced two new acute respiratory crises. **A18**

◆ **Lighter winds helped** crews in South Carolina and North Carolina battle wildfires that caused evacuations over the weekend. **A5**

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Adventurer Is Rescued From Stormy Seas



PHOTO BY HELEN FRANK/AUSTRALIAN DEFENSE FORCE/ASSOCIATED PRESS

SO CLOSE: The Australian navy on Monday rescued a Lithuanian man who had been trying to row across the Pacific alone when he hit a cyclone in the Coral Sea. Aurimas Mockus left San Diego in October and was just days from Brisbane, his destination. **A18**

U.S. Halts Arms for Ukraine In Sharp Turn Away From Ally

The U.S. will pause all military aid to Kyiv until President Trump determines that President Volodymyr Zelensky of Ukraine is making a good-faith effort toward peace negotiations with Russia, the White House said.

"The President has been clear that he is focused on peace. We need our partners to be committed to that goal as well. We are pausing and reviewing our aid to ensure that it is contributing to a solution," a White House official said in a statement.

By Nancy A. Youssef,
Alexander Ward
and Jared Malsin

The White House didn't say under what conditions the U.S. would resume military aid, which drew from U.S. stockpiles, or whether it would be at the same pace. While there is no clear understanding of what Washington wants from Kyiv, the decision was the most demonstrative U.S. shift from being Ukraine's main ally.

A senior administration of-

NATO Future Is Questioned

Trump's embrace of Russia has rocked alliance at heart of post-WWII order..... **A7**

cial said all of Trump's top national security advisers agreed with the decision to pause the aid after multiple meetings on the issue. Trump, enraged by Zelensky's comments that he thought the end

of the war was far away, felt the need to show he was serious about getting Ukraine to the peace table.

"The Ukrainians didn't think we were serious," the administration official said. "We had to make a demonstration."

The official said Trump would decide what constitutes Ukraine showing that it was serious about peace talks, adding that it was unclear if Zelensky signing a rare minerals deal sought by the Trump administration was enough to re-

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Southwest Airlines Layoffs Take Toll On Culture

By ALISON SIDER
AND CHIP CUTTER

Victoria Slavic started her seven-year career at Southwest Airlines the way many hires do—parading down a red carpet at its Dallas headquarters to cheers from pompom-waving co-workers.

The technology manager's job ended last month as she sat at home in front of her laptop. An executive delivered her termination notice on a scripted video call in listen-only mode. It lasted about seven minutes.

"It was gutting," said Slavic, who compares the elation she felt on her first day at Southwest to her wedding day and when her children were born.

For more than five decades, Southwest staffers—who call themselves Cohearts—didn't have to worry about losing their jobs in tough times. The company touted its ability to avoid mass layoffs during new-hire orientations. That practice changed in February, when the airline cut about 1,750 jobs, or 15% of its corporate workforce, to rein in fast-rising costs.

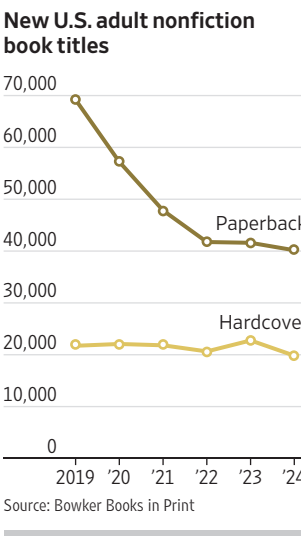
The layoffs are a watershed moment for an airline that credited its irreverent, we-are-family culture with much of its success. Having a "fun-luv-ing" attitude—a nod to Southwest's LUV stock symbol, its Dallas Love Field base and its early, love-themed marketing—is a workplace mantra.

Top bosses long prided themselves on knowing the names of workers' children and often send handwritten

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Trend Is Blow To Authors

Publishers are ditching paperbacks as readers turn to ebooks and audiobooks. **B1**



Striking Out With ESPN, MLB Plots a New TV Model

The baseball economy is a whole new ball game following departure of giant sports network

By JARED DIAMOND AND ISABELLA SIMONETTI

Many U.S. sports leagues these days are awash in unprecedented amounts of money from television networks and streamers eager to pay skyrocketing sums for their valuable content.

And then there is Major League Baseball. When ESPN chairman Jimmy Pitaro visited MLB commissioner Rob Manfred late last year, he carried a harsh message: America's most prominent sports network thinks baseball's TV rights are declining in value.

ESPN has recently been paying \$550 million a year to show baseball games, already hundreds of millions less than a few years

prior. Now, he was back to tell Manfred that ESPN planned to exercise an opt-out clause to escape the final three seasons of its contract with MLB, people familiar with the matter said.

Pitaro said he was open to discussing an entirely new deal at a lower valuation. Manfred, annoyed by the suggestion, quickly shut down any possibility of accepting less money. (ESPN would have been looking to cut its deal with MLB by more than half, to no more than \$200 million a year, people familiar with the matter said.)

Manfred has navigated several tough crises during his 10-year tenure as commis-

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North Korea Is Open. Who's Going?

* * *

The first Western tourists are trickling back into the totalitarian Kim Jong Un regime

By TIMOTHY W. MARTIN
AND SOOBIN KIM

SEOUL—Wendy Arbeit had an unusual vacation announcement during a recent talk with her boss at the University of California school system. "I'm going to North Korea!" the 47-year-old said.

Weeks later, Arbeit found herself in a restaurant at the "Namsan Hotel," where a Budweiser refrigerator case sat in the corner. She hoisted a North Korean flag in each hand and posed in front of a celebratory cake. "Congratulations," it read in Korean. "195 Countries."

She had visited every nation on Earth—except one. In

recent days, Arbeit, a dual U.S.-German national, notched her final destination after North Korea dropped Covid-era restrictions that had blocked Western tourism since January 2020.

"I've been waiting for North Korea for five years," Arbeit says. "The experience was good enough that I would go back."

The first Western tourists are trickling back into the totalitarian Kim Jong Un regime. They're goal-oriented globetrotters,

North Korea nerds and YouTubeers willing to drop everything to visit one of the world's most recalcitrant—and potentially dangerous—places.

The vacationers saw North

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